

Strategic Growth and Revenue Stabilization:

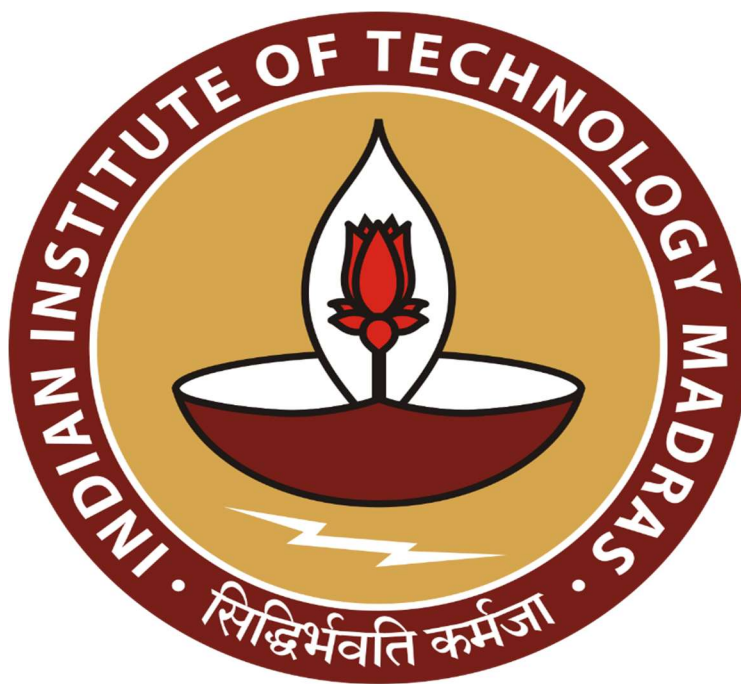
Enhancing Customer Retention and Inventory Management for a Jaggery Wholesale Supplier.

A proposal report for BDM Capstone Project

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Declaration Statement

I am working on a Project Title “Strategic Growth and Revenue Stabilization: Enhancing Customer Retention and Inventory Management”. I extend my appreciation to **‘S’ and ‘S’ Brothers general merchants and commission agents**, for providing the necessary resources that enabled me to conduct my project.

I hereby assert that the data presented and assessed in this project report is genuine and precise to the utmost extent of my knowledge and capabilities. The data has been gathered through primary sources and carefully analyzed to assure its reliability.

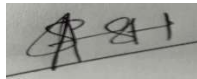
Additionally, I affirm that all procedures employed for the purpose of data collection and analysis have been duly explained in this report. The outcomes and inferences derived from the data are an accurate depiction of the findings acquired through thorough analytical procedures.

I am dedicated to adhering to the information of academic honesty and integrity, and I am receptive to any additional examination or validation of the data contained in this project report.

I understand that the execution of this project is intended for individual completion and is not to be undertaken collectively. I thus affirm that I am not engaged in any form of collaboration with other individuals, and that all the work undertaken has been solely conducted by me. In the event that plagiarism is detected in the report at any stage of the project's completion, I am fully aware and prepared to accept disciplinary measures imposed by the relevant authority.

I agree that all the recommendations are business-specific and limited to this project exclusively, and cannot be utilized for any other purpose with an IIT Madras tag. I understand that IIT Madras does not endorse this.

Signature of Candidate:



Name: Sinan Ameer S H

Date: 28/02/2025

1. Executive Summary

‘S’ and ‘S’ Brothers general merchants and commission agents, a wholesale dealer in jaggery, is currently experiencing difficulties in customer management, revenue optimization, and inventory control. One of the primary concerns is the loss of customers due to pricing discrepancies, which has negatively impacted revenue. Many customers are switching to competitors offering better price consistency, leading to reduced sales. Additionally, ineffective inventory management has resulted in overstocking of slow-moving products and shortages of high-demand items.

This project, titled “**Strategic Growth and Revenue Stabilization: Enhancing Customer Retention and Inventory Management**” seeks to tackle these challenges using data-driven strategies. Through an in-depth analysis of customer purchasing patterns, pricing fluctuations, and sales trends, the project will develop methods to improve customer retention, establish an effective pricing model, and streamline inventory processes. By focusing on demand forecasting, **‘S’ and ‘S’ Brothers** can prioritize fast-moving stock while minimizing excess inventory.

By implementing optimized pricing strategies, enhancing customer engagement, and improving stock management, S and S Brothers can reduce customer churn, stabilize revenue, and enhance overall business efficiency. This initiative will lead to long-term financial sustainability and enable the business to maintain a competitive edge in the jaggery wholesale market.

2. Organization Background

‘S’ and ‘S’ Brothers, established in 2015, is a wholesale jaggery dealer based in Kozhikode Big Bazaar, a major trade hub for food commodities. The business operates in both B2B and B2C capacities with more than 8 years of experience.

The marketplace is highly competitive, with numerous shops specializing in jaggery, making it essential to focus on pricing, inventory control, and customer retention.

The owner has over 25 years of experience in the jaggery trade. Before starting this venture, he was in a partnership business with his older brothers in the same industry. Over time, he has built strong customer relationships and earned a trustworthy reputation in the market.

‘S’ and ‘S’ Brothers offers high-quality, FSSAI-certified jaggery products, ensuring safety and compliance with food standards. The product range includes jaggery cubes, jaggery balls, and powdered jaggery, catering to different customer needs.

3. Problem Statement

- 3.1** The business is experiencing revenue instability due to fluctuating customer demand and competitive market pricing, leading to financial unpredictability.
- 3.2** Inefficient inventory management has resulted in stock imbalances, where high-demand products run out quickly while slower-moving items accumulate, affecting cash flow and profitability.
- 3.3** The business lacks a structured marketing strategy, making it difficult to attract new customers and retain existing ones, further impacting sales consistency.
- 3.4** Inconsistent jaggery quality due to supplier variations affects customer trust and retention. The use of artificial colors and excess sugar to enhance appearance and shelf-life compromises product authenticity and poses potential health risks, damaging company’s credibility.

4. Background of the Problem

4.1 Competitive Market and Pricing Issues

The jaggery wholesale market in Kozhikode Big Bazaar is highly saturated, with multiple traders offering similar products. This intense competition forces businesses to constantly adjust pricing to retain customers, often leading to fluctuating profit margins. The inability to maintain a consistent pricing strategy has resulted in customer loss to competitors offering lower prices.

4.2 Inventory Management Challenges

Inefficient inventory tracking has led to frequent overstocking of slow-moving items while high-demand products run out of stock quickly. This imbalance results in financial strain, storage issues, and missed sales opportunities. Without an effective stock management system, the business struggles to predict which products should be prioritized to optimize sales.

4.3 Limited Marketing Strategies and Customer Retention

Despite having a strong network of loyal customers, the business lacks an organized marketing strategy to attract new buyers. Traditional methods such as word-of-mouth and direct sales are no longer sufficient in a digitally evolving market. Competitors leveraging promotional offers and digital marketing strategies are gaining a competitive edge, making it necessary for **‘S’ and ‘S’ Brothers** to modernize its marketing efforts.

4.4 Unstable Revenue and Business Risks

The combination of market competition, inconsistent pricing, and inefficient inventory control has led to unstable revenue patterns. Without proper demand forecasting and structured business strategies, the company is at risk of financial instability and reduced profitability.

4.5 Variability in Jaggery Quality

Without strict quality control, substandard products reach the market, leading to customer dissatisfaction, increased product returns and weakened brand reputation. Ensuring pure, unadulterated jaggery is essential for maintaining consumer confidence and market competitiveness. Addressing these concerns through strict quality control and supplier vetting is crucial to maintaining consumer trust and business sustainability in an increasingly competitive wholesale market.

5. Problem Solving Approach

- Details about the methods used with Justification

Data Analytics: Analyzing sales data, inventory data and market trends will identify patterns, sales fluctuations, and demand trends. This will allow for more accurate forecasting and targeted marketing strategies to improve sales performance.

Predictive Sales Forecasting: Using the sales data and market trends to predict future demand patterns, ensuring optimal inventory levels and reducing losses from overstocking or stock shortages.

Revenue Optimization by setting accurate prices:

Customer-Specific Pricing – Offering customized pricing for bulk buyers, thereby retaining high-volume customers.

Value-Based Pricing – Highlighting premium-quality, unadulterated jaggery as a selling point to justify pricing differences.

Implementation of Strict Quality Control Measures

Supplier Vetting – Partnering only with trusted suppliers who follow ethical production practices and provide pure, unadulterated jaggery. Establishing clear quality benchmarks for suppliers, ensuring that only premium-quality products enter the supply chain.

- Details about intended data collection with Justification

Stock Book: It maintains records of available inventory. Helps in tracking stock levels, preventing both overstocking and shortages of high-demand items.

Sales Book: It registers the number of items sold and their respective selling prices. Allows analysis of day-to-day sales of a particular item and pricing.

Bill Book (For High-Volume Clients): Contains customer names, addresses, and contact details for bulk buyers. It supports customer retention efforts and helps in offering personalized pricing.

Day Book: Provides a daily record of all transactions from the Stock Book, Sales Book, and Bill Book. It gives a consolidated financial overview, aiding in profit tracking, pricing adjustments, and business planning.

- Details about analysis tools with Justification

Microsoft Excel is used in the preliminary data cleaning, processing and analysis. It is used to provide an insight about the market trends, sales trends and inventory data. Use of pivot tables and recommended charts to visualize data as well as comparisons.

Utilization of Python Libraries –

Pandas and NumPy: For advanced data analysis and inferences.

Matplotlib & Seaborn: For generating graphs and charts to compare sales trends, inventory and profit variations.

6. Expected Timeline

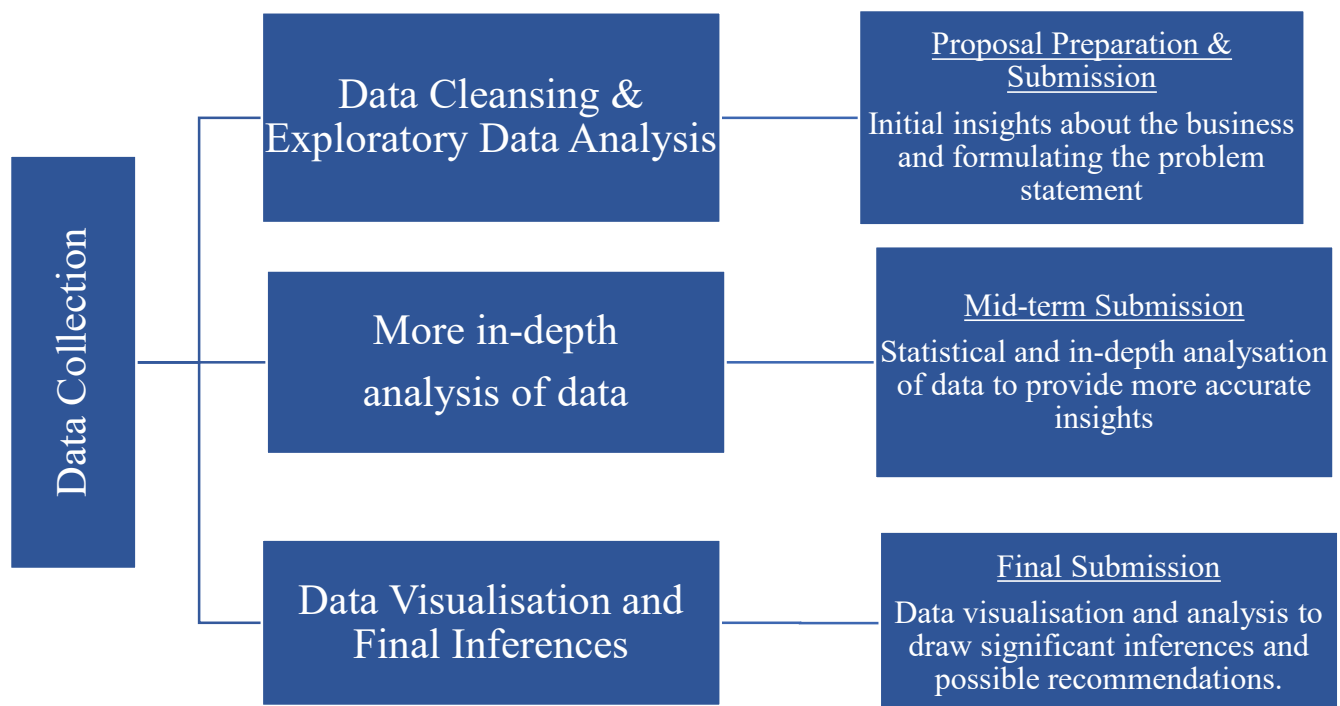


Fig 6.1 Work Breakdown Structure

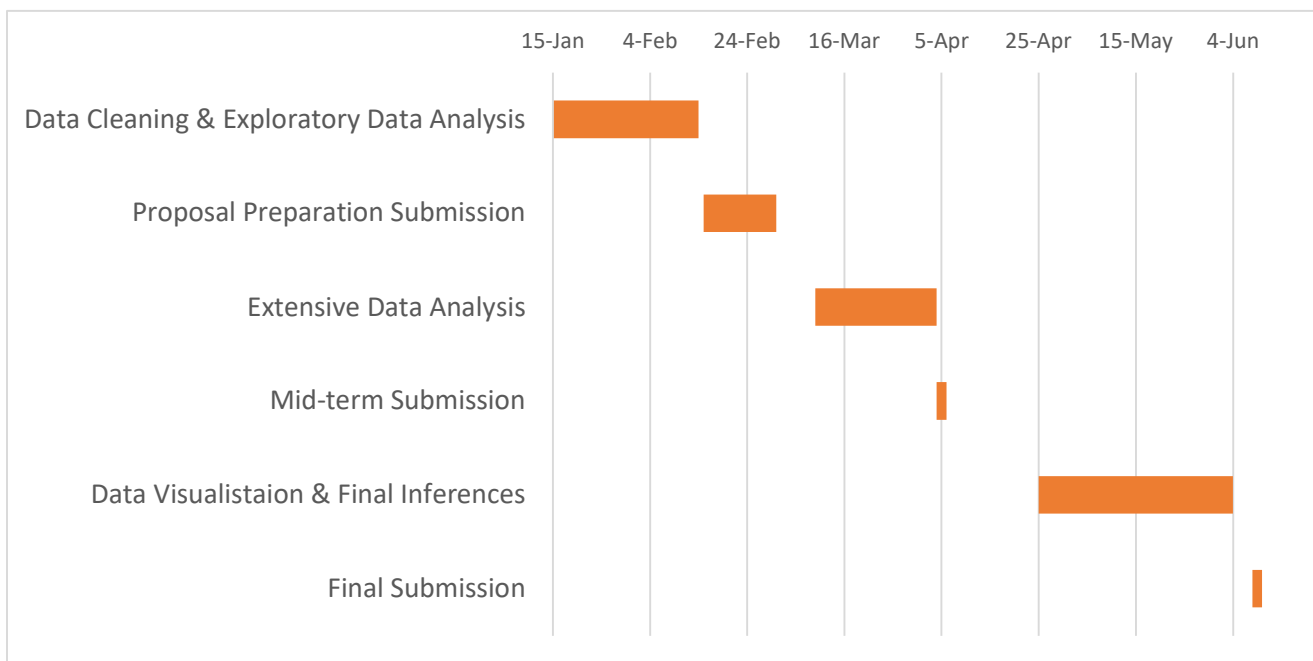


Fig 6.2 Gantt Chart

7. Expected Outcome

The project aims to establish a more diversified customer base and ensure stable revenue for **‘S’ and ‘S’ Brothers**. By analyzing sales data, the business can identify key buying trends and seasonal demand fluctuations, leading to improved inventory management and demand forecasting. This will help in reducing the risks of overstocking or stock shortages, ensuring a steady supply of jaggery products.

Additionally, customer segmentation and retention will enable the business to identify high-value clients and implement targeted marketing strategies. This will reduce dependency on a few major customers, mitigating financial risks associated with revenue concentration. Addressing the concerns of product quality through supplier vetting is crucial to maintain consumer trust and business sustainability in an increasingly competitive wholesale market.

The project will focus on **data-driven pricing strategies, inventory management of products, product integrity and customer retention initiatives**. Implementing these strategies will help smoothen sales fluctuations, enhance cash flow stability, and improve profitability. Overall, this approach will strengthen **‘S’ and ‘S’ Brothers** market position in the highly competitive wholesale jaggery industry, ensuring long-term business sustainability.